

Look at the situation from a gift receiver's side of the equation. During each year of his adult life, William receives an annual tax-free gift of \$10,000 from his parents. William is forty-eight years of age. Ten thousand dollars of tax-free income could be viewed as the product of what amount of capital? Assume an 8 percent return. This would equate to \$125,000 in capital. Add this amount to his actual net worth. What is the result? William perceives himself as having \$125,000 more in capital than he does.

Consider this analogy. Have you ever been confronted by an eight-year-old youngster standing in the front yard of his parents' home? If you, a stranger, attempt to walk on to the property, Billy or Janie will likely say, "You can't come into *my yard*. This is *my property*." Billy and Janie think that it is their property. At the age of eight they may be correct. After all, they are children living at home. At this age kids feel that the yard, the home, and the car are family property. But as the majority of Billys and Janies mature, they become properly socialized by their parents. They grow into independent adults, adults who can easily distinguish between what is theirs and what is not. Their parents teach them independence.

Unfortunately, a growing portion of adult children are not being taught the value of being emotionally and economically independent of their parents. How did one set of parents recently test to see if their adult son was independent? They used the "Montage Effect" as a basis for the test.

After Thanksgiving dinner at his parents' home, James and his parents had a conversation. His parents told James that they had decided to give several pieces of "their" commercial property to the local private college. His father told his son, "I know you will understand that the college really will benefit from such a gift." James's response, if written as a headline, might read:

Son of affluent couple screams, "That's my property, too, and the college people can't come in (to my yard)."

James's response was predictable. He has received substantial cash gifts from his parents throughout his adult life. He needed an annual gift equivalent to about 20 percent of his income to cover his annual expenses. He viewed his parents' idea of giving their capital to the college as a threat to his future income.